Company Registration No. 00054222 (England and Wales)

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2019

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THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

COMPANY INFORMATION

Directors	M L Garlick B C Kilby J Banaszkiewicz C J Holt B T Nelson T A D Crabb B Flood
Company number	00054222
Registered office	Turf Moor Harry Potts Way Burnley Lancashire BB10 4BX
Auditor	Baldwins Audit Services St Crispin House St Crispin Way Rossendale BB4 4PW

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

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THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2019

The directors present the strategic report for the year ended 30 June 2019.

Chairman's report and fair review of the business
On behalf of the board of directors, we are pleased to present the annual report and financial statements for the year ended 30 June 2019.

Following our spectacular 7th place finish in the 2017/18 season, we embarked on our first season in Europe in over 50 years - something, which I'm sure most of us, a few years ago, thought we would never see again.

We witnessed some very exciting contests and memorable trips against Aberdeen and Istanbul Basaksehir, but following defeat against Olympiakos, we narrowly missed qualifying for the group stage.

Combining our European adventure with the weekly fixture program of the Premier league proved highly challenging, but following a highly successful second half of the season we managed to slowly but steadily climb up the table to a respectable finish and secure our 4th consecutive season of top flight football, for the first time in 50 years!

Financially our turnover decreased slightly from £139m to £137m, in part due to the decrease in "place monies" after finishing 15th instead of 7th the previous season.

Wages again grew from £82m to £87m mainly due to increased player, coaching and other football staff costs.

Profit before tax fell from £46m to £5m. The single largest reason for this change is the sale of both Andre Gray and Michael Keane, which boosted our player trading profitability considerably in 2017/18.

In the second half of the season we also invested heavily in our recruitment and scouting set up, more than tripling the number of full time staff.

We are confident that this increased investment will slowly but surely develop our ability to identify and sign players that can improve our first team squad, whilst at the same time helping to maintain our financial sustainability as a club for generations to come.

In closing I would like to thank all our staff for their continued hard work and commitment and all our fans for their unwavering support and passion. You all help to make a difference.

Indeed, the future is extremely bright for all of us.

Keep the faith.

Mike

Principal risks and uncertainties
The company faces a number of risks and uncertainties and has measures in place to mitigate the impact of these risks.

The principal risk to the company is the possibility of the football club's relegation from the Premier League and the associated reduction in turnover this would bring. This risk is managed by incorporating clauses into player contracts which would lead to a significant reduction in player salaries in the event of relegation.

The club's finishing position in the Premier League also has a material impact on the club's turnover and operating costs, and the directors make prudent budget assumptions regarding the club's league position to manage this risk.

Key performance indicators

	2018/2019	2017/2018
League position	15th	7th
FA Cup	4th Round	3rd Round
Carabao Cup	3rd Round	3rd Round
Average Home league gate	20,534	20,688
Wage:Turnover ratio	62.86%	58.72%

On behalf of the board

M L Garlick
Chairman and Director
25 February 2020

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2019

The directors present their annual report and financial statements for the year ended 30 June 2019.

Principal activities
The principal activity of the company continues to be that of the operation of a professional football club.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

M L Garlick
B C Kilby
J Banaszkiewicz
C J Holt
B T Nelson
T A D Crabb
B Flood

Results
The results for the year are set out on page 8.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Financial instruments

Price risk, credit risk, liquidity risk and cash flow risk
The business' principal financial instruments comprise bank balances, trade debtors and trade creditors. The main purpose of these instruments is to finance the business' operations.

In respect of bank balances, the liquidity risk is managed by maintaining a balance between the continuity of funding and flexibility through the use of overdrafts at floating rates of interest. All of the business' cash balances are held in such a way that achieves a competitive rate of interest. The business makes use of money market facilities where funds are available.

Trade debtors are managed in respect of credit and cash flow risk by policies concerning the credit offered to customers and the regular monitoring of amounts outstanding for both time and credit limits. The amounts presented in the balance sheet are net of allowances for doubtful debtors.

Trade creditors' liquidity risk is managed by ensuring sufficient funds are available to meets amounts due.

Disabled persons
Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Employee involvement
The company's policy is to consult and discuss with employees, through unions, staff councils and at meetings, matters likely to affect employees' interests.

Information about matters of concern to employees is given through information bulletins and reports which seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the company's performance.

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2019

Post reporting date events
Following the year end the club acquired the player registrations of Jay Rodriguez, Bailey Peacock-Farrell, Erik Pieters and Joshua Brownhill on permanent playing contracts.

The player registrations of Tom Heaton, Steven Defour, Stephen Ward and Nahki Wells have been disposed of after the year end.

The net expenditure arising on these transfers is £8,264,000.

Reappointment of auditors
The auditors Baldwins Audit Services are deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of disclosure to auditor
So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board



B C Kilby
Director
25 February 2020

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 30 JUNE 2019

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBER OF THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

Opinion

We have audited the financial statements of The Burnley Football & Athletic Company Limited (the 'company') for the year ended 30 June 2019 which comprise the profit and loss account, the balance sheet, the statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2019 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

TO THE MEMBER OF THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

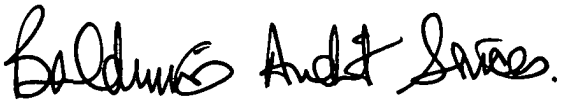
Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: http://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's member in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's member those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's member for our audit work, for this report, or for the opinions we have formed.



Mr Nicholas Stockton (Senior Statutory Auditor)
for and on behalf of Baldwins Audit Services

26 February 2020

Statutory Auditor

St Crispin House
St Crispin Way
Rossendale
BB4 4PW

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30 JUNE 2019

	Notes	Operations excl player trading £'000	2019 Player trading £'000	Total £'000	2018 Total £'000
Turnover	3	137,791	-	137,791	138,997
Other operating income		977	-	977	1,174
Staff costs	6	(86,619)	-	(86,619)	(81,616)
Depreciation	4	(1,239)	-	(1,239)	(1,218)
Other operating expenses		(15,584)	-	(15,584)	(14,715)
Operating profit excluding player trading		35,326	-	35,326	42,622
Amortisation of player registrations	4	-	(37,516)	(37,516)	(27,754)
Profit on disposal of player registrations	4	-	7,017	7,017	30,731
Operating profit	4	35,326	(30,499)	4,827	45,599
Interest receivable and similar income	8			41	34
Interest payable and similar expenses	9			(2)	(17)
Profit before taxation				4,866	45,616
Tax on profit	10			(349)	(8,500)
Profit for the financial year				4,517	37,116

The Profit And Loss Account has been prepared on the basis that all operations are continuing operations.

The company has no recognised gains or losses for the year other than the results shown above.

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

BALANCE SHEET

AS AT 30 JUNE 2019

	Notes	2019 £'000	2019 £'000	2018 £'000	2018 £'000
Fixed assets					
Intangible assets	11		44,498		49,181
Tangible assets	12		4,755		5,434
			49,253		54,615
Current assets					
Stocks	13	414		591	
Debtors	14	40,297		44,459	
Cash at bank and in hand		41,647		34,412	
		82,358		79,462	
Creditors: amounts falling due within one year	15	(46,357)		(51,800)	
Net current assets			36,001		27,662
Total assets less current liabilities			85,254		82,277
Creditors: amounts falling due after more than one year	16		(8,710)		(10,250)
Provisions for liabilities	18		(250)		(250)
Net assets			76,294		71,777
Capital and reserves					
Called up share capital	21		77		77
Share premium account			11,219		11,219
Profit and loss reserves			64,998		60,481
Total equity			76,294		71,777

The financial statements were approved by the board of directors and authorised for issue on 25 February 2020 and are signed on its behalf by:

B C Kilby
Director

Company Registration No. 00054222

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2019

	Share capital	Share premium account	Profit and loss reserves	Total
	£'000	£'000	£'000	£'000
Balance at 1 July 2017	77	11,219	23,365	34,661
Year ended 30 June 2018:				
Profit and total comprehensive income for the year	-	-	37,116	37,116
Balance at 30 June 2018	77	11,219	60,481	71,777
Year ended 30 June 2019:				
Profit and total comprehensive income for the year	-	-	4,517	4,517
Balance at 30 June 2019	77	11,219	64,998	76,294

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2019

1 Accounting policies

Company information

The Burnley Football & Athletic Company Limited is a private company limited by shares incorporated in England and Wales. The registered office is Turf Moor, Harry Potts Way, Burnley, Lancashire, BB10 4BX.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements have been prepared with early application of the FRS 102 Triennial Review 2017 amendments in full.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £'000.

The financial statements have been prepared under the historical cost convention.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of all applicable disclosure exemptions available under FRS 102 paragraph 1.12.

The financial statements of the company are consolidated in the financial statements of Burnley FC Holdings Limited. These consolidated financial statements may be obtained from Companies House, Crown Way, Maindy, Cardiff, CF14 3UZ.

1.2 Going concern

At the time of approving the financial statements, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future. Thus the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

1.3 Turnover

Turnover represents income from television rights, gate receipts, catering, club shop sales and other commercial activities.

1.4 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Leasehold improvements	2% to 10% straight line per annum
Plant and vehicles	12.5% to 25% straight line per annum
Fixtures and fittings	10% to 15% straight line per annum

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1 Accounting policies **(Continued)**

Player registrations and signing on fees
Transfer fees and amounts paid to third parties for player registrations are capitalised as intangible assets and are amortised on a straight line basis over the period of the respective players' contracts. Any transfer fees payable as a result of the occurrence of one or more uncertain future events are capitalised when the event occurs.

When a player registration is disposed, profit or loss on disposal of the registration is recognised as the difference between the consideration received and the carrying value of the player registration at the date of disposal.

Following the early adoption of FRS 102 Triennial Review 2017, profit or loss on the disposal of player registrations is now disclosed within operating profit. This is in accordance with FRS 102 (March 2018) paragraph 5.9B. The comparative year's profit and loss account has been amended to reflect this change in disclosure, however this has no impact on the company's overall profit for the year ended 30 June 2018.

Intangible assets are assessed on an annual basis and impairment losses arising are charged to the profit and loss account in the period in which they arise.

Player signing-on fees are expensed to the profit and loss account on a straight line basis over the period of the respective players' contracts except in the circumstances of a player disposal. In that case, any remaining signing-on fees due are allocated in full against profit on disposal of players' registrations.

1.5 Impairment of fixed assets
At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of any impairment loss.

1.6 Stocks
Stocks are stated at the lower of cost and estimated selling price.

1.7 Cash at bank and in hand
Cash at bank and in hand are basic financial assets and include cash in hand and deposits held at call with banks.

1.8 Financial instruments
The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Basic financial assets
Basic financial assets, which include debtors and cash and bank balances, are measured at transaction price including transaction costs.

1 Accounting policies **(Continued)**

Impairment of financial assets

Financial assets are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors and loans from fellow group companies, are recognised at transaction price. Debt instruments are subsequently carried at amortised cost, using the effective interest rate method. Financial liabilities classified as payable within one year are not amortised.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

1.9 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of direct issue costs.

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recognised in profit or loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk.

1.10 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity.

1.11 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.13 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

1.14 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation are included in the profit and loss account for the period.

2 Judgements and key sources of estimation uncertainty

The preparation of financial statements requires management to make significant judgements, estimates and assumptions.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

The main area of judgement that has the most significant effect on the amounts recognised in the financial statements is in regard to any provision for impairment of player registrations.

Provision for impairment is made when it becomes clear that any diminution in the value is permanent. In certain circumstances there may be an individual player whom the company does not consider to be part of the first team squad going forward and whom management have decided is unlikely to play for the first team for a significant part of the remaining duration of the player's contract. In such situations the carrying value of the player will be assessed for impairment and considered against the best estimate of his fair value less costs to sell.

3 Turnover and other revenue

Turnover originates within the United Kingdom and comprises the following:

	2019 £'000	2018 £'000
Turnover analysed by class of business		
Match income	6,323	5,604
Television rights	114,988	121,528
Catering sales	2,593	2,615
Other commercial activities	12,054	7,365
Retail sales	1,833	1,885
	137,791	138,997

4 Operating profit

Operating profit for the year is stated after charging/(crediting):	2019 £'000	2018 £'000
Exchange gains	(1)	(30)
Depreciation of tangible fixed assets	1,239	1,203
(Profit)/loss on disposal of tangible fixed assets	-	15
Amortisation of player registrations	37,516	27,754
Profit on disposal of player registrations	(7,017)	(30,731)
Operating lease charges	1,032	756

5 Auditor's remuneration

Fees payable to the company's auditor and associates:	2019 £'000	2018 £'000
For audit services		
Audit of the financial statements of the company	27	24
	27	24
For other services		
Audit-related assurance services	11	12
Taxation compliance services	15	9
All other non-audit services	14	16
	40	37

6 Employees

The average monthly number of persons employed by the company during the year was:

	2019 Number	2018 Number
Players, managerial and training staff	160	120
Sales, administration and ancillary staff - full time	69	43
Sales, administration and ancillary staff - part time	26	21
	255	184

Their aggregate remuneration comprised:

	2019 £'000	2018 £'000
Wages and salaries	78,161	73,524
Social security costs	8,362	8,047
Pension costs	96	45
	86,619	81,616

In addition to the above, the company employed an average of 325 (2018 - 295) match-day staff during the year.

7 Directors' remuneration

None of the directors received remuneration from the company during the year (2018 - £Nil).

8 Interest receivable and similar income

	2019 £'000	2018 £'000
Interest income		
Interest on bank deposits	41	34

9 Interest payable and similar expenses

	2019 £'000	2018 £'000
Other interest on financial liabilities	-	5
Interest on finance leases and hire purchase contracts	2	12
	2	17

10 Taxation

	2019 £'000	2018 £'000
Current tax		
UK corporation tax on profits for the current period	600	8,409
Adjustments in respect of prior periods	(251)	91
Total current tax	349	8,500

The actual charge for the year can be reconciled to the expected charge for the year based on the profit or loss and the standard rate of tax as follows:

	2019 £'000	2018 £'000
Profit before taxation	4,866	45,616
Expected tax charge based on the standard rate of corporation tax in the UK of 19.00% (2018: 19.00%)	925	8,667
Tax effect of expenses that are not deductible in determining taxable profit	21	11
Tax effect of income not taxable in determining taxable profit	(65)	(87)
Group relief	(81)	(92)
Capital allowances in excess of depreciation	-	1
Research and development tax credit	(451)	-
Taxation charge for the year	349	8,500

11 Intangible fixed assets

	Player registrations £'000
Cost	
At 1 July 2018	95,643
Additions	32,991
Disposals	(3,862)
At 30 June 2019	124,772
Amortisation and impairment	
At 1 July 2018	46,462
Amortisation charged for the year	37,516
Disposals	(3,704)
At 30 June 2019	80,274
Carrying amount	
At 30 June 2019	44,498
At 30 June 2018	49,181

12 Tangible fixed assets

	Leasehold improvements £'000	Plant and vehicles £'000	Fixtures and fittings £'000	Total £'000
Cost				
At 1 July 2018	7,236	3,068	2,480	12,784
Additions	411	95	64	570
Disposals	-	(35)	-	(35)
At 30 June 2019	7,647	3,128	2,544	13,319
Depreciation and impairment				
At 1 July 2018	3,941	1,744	1,665	7,350
Depreciation charged in the year	795	239	205	1,239
Eliminated in respect of disposals	-	(25)	-	(25)
At 30 June 2019	4,736	1,958	1,870	8,564
Carrying amount				
At 30 June 2019	2,911	1,170	674	4,755
At 30 June 2018	3,295	1,324	815	5,434

13 Stocks

	2019 £'000	2018 £'000
Finished goods and goods for resale	414	591

14 Debtors

Amounts falling due within one year:	2019 £'000	2018 £'000
Trade debtors	14,138	27,967
Corporation tax recoverable	2,278	-
Amounts owed by group undertakings	16,631	12,159
Prepayments and accrued income	7,250	4,333
	40,297	44,459

£Nil (2018 - £7,735,000) of trade debtors is classified as non current.

Included within trade debtors is £13,780,000 (2018 - £27,883,000) relating to amounts due from other football clubs.

Amounts owed by group undertakings is unsecured, accrues no interest and is classified as falling due within one year as the balance has no set repayment date. The directors anticipate, however, that it is probable most of this balance will be received after more than one year.

15 Creditors: amounts falling due within one year

	Notes	2019 £'000	2018 £'000
Obligations under finance leases	17	-	77
Trade creditors		15,975	14,707
Amounts owed to group undertakings		517	517
Corporation tax		-	4,873
Other taxation and social security		5,317	4,461
Accruals and deferred income		24,548	27,165
		46,357	51,800

Included within trade creditors is £14,119,000 (2018 - £13,338,000), which relate to amounts due to other football clubs.

Included within accruals and deferred income is £Nil (2018 - £281,000), which relate to amounts due to other football clubs.

16 Creditors: amounts falling due after more than one year

	2019 £'000	2018 £'000
Trade creditors	5,000	9,246
Accruals and deferred income	3,710	1,004
	8,710	10,250

Included within trade creditors is £5,000,000 (2018 - £9,246,000), which relate to amounts due to other football clubs.

Included within accruals and deferred income is £2,500,000 (2018 - £Nil), which relate to amounts due to other football clubs.

17 Finance lease obligations

Future minimum lease payments due under finance leases:	2019 £'000	2018 £'000
Within one year	-	77

18 Provisions for liabilities

	Notes	2019 £'000	2018 £'000
Deferred tax liabilities	19	250	250

19 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the company and movements thereon:

Balances:	Liabilities 2019 £'000	Liabilities 2018 £'000
Accelerated capital allowances	250	250

There were no deferred tax movements in the year.

20 Retirement benefit schemes

Defined contribution schemes	2019 £'000	2018 £'000
Charge to profit or loss in respect of defined contribution schemes	96	45

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

Contributions totalling £28,000 (2018 - £15,000) were payable to the scheme at the end of the year and are included in creditors.

21 Share capital

	2019 £'000	2018 £'000
Ordinary share capital		
Issued and fully paid		
77,000 Ordinary shares of £1 each	77	77
	77	77

22 Financial commitments, guarantees and contingent liabilities

Contingent liabilities

Additional transfer fees of up to £7,776,000 (2018 - £12,990,000), that may become payable upon achievement of certain conditions contained within transfer contracts if the respective players are still in service of the club on specific future dates, are accounted for in the year in which those conditions are satisfied.

23 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2019 £'000	2018 £'000
Within one year	114	113
Between two and five years	130	237
	244	350

23 Operating lease commitments **(Continued)**

The company is also party to a long term lease agreement with Longside Properties Limited, a fellow subsidiary of Burnley FC Holdings Limited, in respect of certain land and buildings. At 30 June 2019, the total future minimum lease payments under these agreements was £58,825,000 (2018 - £32,271,000), due in installments over the next 85 years. Any future amendments to this agreement are at the discretion of the group's board of directors.

24 Capital commitments

The total amount contracted for but not provided in the financial statements was £Nil.

25 Events after the reporting date

Following the year end the club acquired the player registrations of Jay Rodriguez, Bailey Peacock-Farrell, Erik Pieters and Joshua Brownhill on permanent playing contracts.

The player registrations of Tom Heaton, Steven Defour, Stephen Ward and Nahki Wells have been disposed of after the year end.

The net expenditure arising on these transfers is £8,264,000.

26 Related party transactions

Transactions with related parties

During the year, the company entered into transactions with: Total Gaming Solutions Limited (a company in which Mr B C Kilby is a director), University College of Football Business (an entity in which Mr J Banaszkiwicz and Mr B Flood are directors) and Clarets in the Community Limited (an entity in which Mr B C Kilby and Mr B Nelson are directors).

During the year, the company purchased goods and services from these entities amounting to £310,000 (2018 - £198,000). At the balance sheet date the amount due to these entities was £2,000 (2018 - £12,000).

During the year, the company supplied goods and services to these entities amounting to £308,000 (2018 - £238,000). At the balance sheet date the amount due from these entities was £1,000 (2018 - £10,000).

During the year, the company made office space available to Clarets in the Community Limited with no rental charge.

27 Ultimate controlling party

The company's immediate and ultimate parent is Burnley FC Holdings Limited, a company incorporated in England and Wales.

The parent of the only group in which these financial statements are consolidated is Burnley FC Holdings Limited.

The address of Burnley FC Holdings Limited is:
Turf Moor, Harry Potts Way, Burnley, Lancashire, BB10 4BX.

There is no overall controlling party of Burnley FC Holdings Limited.